

invested according to the two children's ages. Since the children's average age is 35, let's use age in bonds again and make that account 35 percent bonds and 65 percent stocks. The two accounts can be managed separately with two separate allocations, or they can be combined and make one combined allocation. A combined account of \$2 million would be allocated as 50 percent in stocks and 50 percent in bonds. The couple's 50-year commingled allocation age is quite different from their chronological age; however, it may be more appropriate for their situation.

Another example: assume the case of two 55-year-old female investors. How do we differentiate the special needs of each person? The questions to ask cover a wide range of issues, such as income needs, retirement needs, pensions, current and forecasted living expenses, bequeathing goals, passive income sources, the degree of detachment (i.e., risk tolerance), and so on. These real-life variables will dramatically affect each woman's asset allocation. The chronological age-based allocation of 55 percent in bonds may be a good starting point or baseline allocation model. There are a number of life variables that will ultimately determine the allocation age of the investor.

Assume that one of the 55-year-old women is barely getting by financially and that the other is doing very well. The first woman has a small amount she saved in her 401(k) and that is all. She has some housing debt and is caring for her aging parents who are both in their eighties. In her case, an age-in-bond association would put her portfolio at 45 percent in stocks. This may be too aggressive, and an adjustment should be made. A more appropriate allocation age is 70 based on her life situation because she has very high cash-flow risk and is caring for elderly parents. She cannot afford to lose any sizable amount of her savings. The second 55-year-old has a healthy and generous pension plan, no housing or consumer debt, and a large Roth IRA account balance which is positioned very conservatively. In addition, she is expected to inherit a sizable estate in the next few years. Her allocation age is closer to 40 because she has little cash-flow risk, no debt, and no foreseen future liabilities.

For both women the age-in-bonds rule is too restrictive. Recall that both investors have a chronological age of 55. However, the first investor will have a 70 percent allocation to bonds because of her tight financial situation, with the balance of the allocation (in this case 30 percent) invested in the equity portfolio. The second investor will have a 40 percent